Business Academy Pilot Guidance

Year 2 (FY27)

Rationale

Child care providers are essential to Virginia's early childhood system and to the families and communities they serve. As small business owners, they need strong business practices to keep their programs open and growing, and to make informed decisions about competitive teacher compensation. Yet many run their programs without access to business coaching, budgeting tools, and peer networks, gaps that can limit their sustainability. The FY26 Business Academy Pilot demonstrated the value of pairing the Business Academy Budgeting Tool with individual coaching across three Ready Regions. Year 2 continues and strengthens this work, aligned with Virginia Business Roundtable for Early Education (VBREE) Get Set supply-building priorities.

FY26 data shows that only eight of the 18 providers who completed the end-of-pilot survey reported feeling confident or very confident creating a budget for their program before the pilot. By the end, all 18 providers reported feeling confident, very confident, or extremely confident. All 18 also reported feeling confident, very confident, or extremely confident in using their budget to make decisions, exploring financial scenarios, and assessing whether their program is financially sustainable. Year 2 builds on these gains and adds Peer Connections sessions so providers can learn from one another as business owners.

Pilot Aims

- Continue business coaching for Year 1 providers and expand the model to new providers in the participating Ready Regions.
- Increase business acumen and business sustainability by helping providers turn budgeting confidence into regular practice, using their budget to guide ongoing financial decisions.
- Build a regional peer network among returning and new providers.
- Generate lessons, evidence, and data to refine the Business Academy Budgeting Tool and potentially scale these supports in the future.
- By project end, participating providers will:
    - Independently create and maintain a program budget using the Business Academy Budgeting Tool.
    - Use their budget to explore financial scenarios and make informed decisions about teacher compensation, program expansion, and long-term sustainability.
    - Increase their business acumen and strengthen the sustainability of their program.
    - Implement at least one new or improved business practice informed by coaching or learning during the pilot.
    - Feel more connected to a supportive peer community.

Funding Period

September 30, 2026 – September 29, 2027

- **Planning Period:** 9/30/26 - 11/30/26
    - Identify a RR Business Specialist, recruit providers, and send VECF each provider's name and email address. VECF will send the pre-assessments to be completed by the November 30, 2026, enrollment date.
- **Implementation Period:** 12/1/26 - 9/29/27

- Business Specialists provide monthly individual coaching, group learning, and Peer Connections sessions, and track provider progress.

Funding: Each participating Ready Region will choose to serve between 8 and 20 providers. Regions serving 16 to 20 providers will receive a contract for $115,000. Regions serving fewer than 16 providers will receive $2,500 less for each provider below 16, down to $95,000 for a cohort of 8.

The contract amount is based on the number of providers enrolled as of Monday, November 30, 2026. A provider is considered enrolled once they have completed the pre-assessment. The amount of funding will not change after this date, even if a provider withdraws. Please notify VECF if a provider withdraws.

Within 30 days of execution of the agreement, Ready Regions will send VECF a high-level, bulleted list indicating how funds will be used. Per usual practice, Ready Regions may request revisions to these plans as needed.

Roles and Responsibilities

Ready Regions

Each participating Ready Region will:

- Identify a Business Specialist (staff or contractor) who dedicates 20 to 30 hours per week, depending on cohort size (about 30 hours for 16 to 20 providers), to carrying out the responsibilities below, including the systems work completed together with VECF. If a contractor is used, a Ready Region staff member must stay involved throughout the pilot to support communication and coordination.
- Provide individual coaching to each provider at least once per month, including review of the provider's Business Academy Budgeting Tool against their actual income and expenses.
- Host monthly group learning sessions on business sustainability topics, including budgeting, financial management, competitive teacher compensation, marketing and enrollment, recordkeeping, time management, policies, contracts, advocacy skills, and workforce practices.
- Host monthly Peer Connections sessions where providers have opportunities to build relationships with one another and share strategies.
- Connect providers to relevant resources, training, and funding opportunities.
- Encourage providers to use the Virginia Shared Services Network (VSSN) platform and track their engagement.
- Monitor pilot progress (attendance, coaching outcomes, Budgeting Tool use, business practice changes, provider retention and engagement) and protect the confidentiality of provider business and financial information.
- Share provider feedback on the Business Academy Budgeting Tool to inform VECF's refinement and scaling of the tool.
- Complete an end-of-pilot report for VECF.
- Together with VECF:
    - Explore at least one approach, such as shared services, employer partnerships, or bulk purchasing, with the potential to strengthen child care business viability.
    - Note additional opportunities for continuing or expanding the support model beyond this pilot.

VECF

VECF will:

- **For Business Specialists:**
    - Provide orientation and onboarding to the pilot.

- Hold monthly Community of Practice meetings.
- Meet monthly with each Business Specialist for support and technical assistance.
- Purchase a 12-month VSSN subscription for the Business Specialist.
- Provide access to Business Academy resources and the Zoho Connect pilot group.
- Provide updated Business Academy Budgeting Tool guidance and resources.

- **For participating providers:**
  - Purchase a 12-month VSSN platform subscription for each participating provider.
  - Administer the pre- and post-assessment.

Providers

Each participating provider will:

- Commit to participate in the full project period.
- Attend monthly group learning sessions and monthly Peer Connections sessions.
- Participate in individual coaching at least once per month.
- Use the Business Academy Budgeting Tool to support their financial health and sustainability, update it at least monthly and review it with their Business Specialist during individual coaching.
- Use the VSSN platform throughout the pilot year to support their business operations.
- Complete a pre- and post-assessment at the start and end of the pilot year.

Provider Recruitment

Each Ready Region will enroll between 8 and 20 providers in this year's pilot. Regions should prioritize those who completed Year 1 of this pilot where possible and recruit new providers to reach their chosen cohort size. Providers may be center-based or home-based. They must be currently operating a child care program that does not participate in Mixed Delivery and have financial responsibility for their program. They must also accept public funding or be interested in learning how to do so.

Allowable Uses of Contract Funds

- Staff/contractor compensation and benefits for the full project period
- Participant stipends, amount at Ready Region discretion
- Expenses related to meetings, trainings, local/regional travel, and consultants
- Supplies, including office and training materials
- Other (contact VECF about allowability)

Key Dates

Key dates for agreements, invoicing, and reporting are being finalized and will be shared with participating Ready Regions in the coming weeks.

Questions?

Contact Amy Hatheway, amy@vecf.org.